These hacks have taught lessons not only to existing and new cryptoasset exchanges, but to clients as well.

The exchanges that run the highest risk of being hacked are those that have the largest amount of assets in hot wallets. Cold storage might impact the ability to access assets quickly, but what you lose in accessibility you gain in security.

THE WORLD OF CRYPTOASSET WALLETS

Storing cryptoassets on an exchange may not always be the safest option. The risk is lower for those exchanges that have insurance, keep the majority of their assets in cold storage, and employ other best-in-class security measures like penetration testing and regular audits. For other exchanges, the risk should only be tolerated if the innovative investor is trading regularly and making use of the exchange's capabilities, such as offering newer cryptoassets. If not trading regularly, investors should consider one of the following wallet options to store their assets safely.

Broadly speaking, there are five kinds of wallets: web (cloud), desktop, mobile, hardware, and paper. For the sake of brevity, we use bitcoin to illustrate these examples as it provides the scaffolding necessary to investigate similar options for other cryptoassets.

The best resource for learning more about different kinds of bitcoin wallets is bitcoin.org,[33] and we include additional information sources in the Resources section of this book.